Type MS · Percentage change, including inflation from a price index

Answer 1 of 19 · Question 4 part a · 2 marks

2021 NOV · Paper 01 · extract 1 of 4 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $\frac{87\,100 - 80\,750}{80\,750} \times 100$ **OR** $\frac{6\,350}{80\,750} \times 100$ **(1)** Award 1 mark for correct percentage change = 7.86% **(1)** Award 2 marks if percentage change is accurately calculated as 7.86%, even if no calculations are shown Award 1 mark if the answer given is 7.86 with or without calculations shown Do not award marks for a formula	**(2)**

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • An oligopoly is a market that is dominated by a few large firms • There are a few large trekking firms and a few smaller ones • Differentiation is a feature of an oligopoly • The small trekking firms differentiate by offering different routes and guide skills such as speaking different languages • By offering something different the small trekking firms are able to use non-price competition to attract a share of the tourists who wish to trek in Nepal • Barriers to entry are a feature of an oligopoly • Permits are required by trekking firms but are expensive and this is a possible barrier to entry for new firms

Type MS · Percentage change, including inflation from a price index

Answer 1 of 19 · Question 4 part a · 2 marks

2021 NOV · Paper 01 · extract 2 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 1 of 19 · Question 4 part a · 2 marks

2021 NOV · Paper 01 · extract 3 of 4 · find part a in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Privatisation involves the sale of state-owned resources to the private sector • The Indian Government wants to sell the airline Air India to private investors • This means that the airline would no longer be controlled by the government and would be more likely to pursue different objectives, such as making a profit • It may mean Air India would be more likely to reverse the current loss and to be able to pay for its fuel • Private investors may bring increased investment to the airline, meaning it is able to offer increased flights to destinations in countries in Africa and the rest of Asia • This would increase Air India's competitiveness with other airlines already flying to a higher number of destinations • Therefore, this would complement a new objective to make a profit • This is more likely to be achievable as the new owner(s) may have more experience and skills in managing an airline than the government **AO4** • However, the Indian Government has reduced the debt faced by Air India in the past and therefore could leave the airline struggling to meet its costs without assistance from the state • There is already a lot of competition from other airlines meaning the changes may not lead to benefits for Air India; it may be out of the airline's control • As oil companies have struggled to receive payment for fuel in the past, they may be reluctant to supply the firm, even with new owners • This could mean that Air India needs to prioritise different objectives before looking to make a profit and/or establish new routes • It may depend on the level of investment from the new private owner(s) as well as their personal objectives • In the short term it may be more difficult for Air India to make a profit but this may be easier in the long term if the private owner(s) can use their skills and experience to the benefit of the airline

Type MS · Percentage change, including inflation from a price index

Answer 1 of 19 · Question 4 part a · 2 marks

2021 NOV · Paper 01 · extract 4 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

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Type MS · Percentage change, including inflation from a price index

Answer 2 of 19 · Question 2 part a · 1 mark

2019 JUN · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO1 1 mark** **C** 4%	**(1)**

Question Number	Answer	Mark
2(b)	**AO2 1 mark** **A** Direct taxation	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct way. • Visual pollution • Noise pollution • Air pollution • Water pollution Accept any other appropriate responses.	**(1)**

Type MS · Percentage change, including inflation from a price index

Answer 2 of 19 · Question 2 part a · 1 mark

2019 JUN · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to increasing productive capacity and 1 mark for reference to aggregate supply. Policies designed to increase the productive capacity of the economy **(1)** by influencing aggregate supply **(1)** OR Government measures **(1)** designed to increase aggregate supply in the economy **(1)**	**(2)**

Question Number	**Answer**	**Mark**
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage of having a depreciating currency. Award 1 mark for developing the advantage. Award 1 mark for the response being in context. • An improvement on the current account **(1)** A weaker value of the peso leads to rising export sales **(1)** resulting in a larger trade surplus for the economy of the Philippines **(1)** • Economic growth for the economy of the Philippines **(1)** The price of exports should fall because of the weaker peso **(1)** This may result in an increase in demand for goods/services **(1)** Accept any other appropriate response.	**(3)**

Type MS · Percentage change, including inflation from a price index

Answer 2 of 19 · Question 2 part a · 1 mark

2019 JUN · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason. Award 1 mark for developing the possible reason. Award 1 mark for the response being in context. • To access customers in different regions **(1)** Demand may have become saturated in the domestic market of the MNC **(1)** A growing economy such as India provides a much bigger market in which to sell their goods/services **(1)** • Cheaper resources such as labour **(1)** Countries such as India have cheaper skilled labour compared to the domestic market of the MNC **(1)** This allows the MNC to produce products at a much lower cost **(1)** Accept any other appropriate response.	**(3)**

Type MS · Percentage change, including inflation from a price index

Answer 2 of 19 · Question 2 part a · 1 mark

2019 JUN · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade blocs are usually groups of countries in specific regions that manage and promote trade activities • This can result in more free trade between member countries • This can benefit member countries such as Thailand because they have access to a wider market in ASEAN countries, such as Vietnam, in which to sell their goods and services • Firms in countries such as Thailand may be able to exploit economies of scale or specialisation can occur • Consumers may benefit with lower prices and/or greater choice of goods and services • Being a member of the ASEAN trade block may attract increased FDI • Membership of the trade bloc has contributed to an increase in GDP per capita from $122 to $4 021 **AO4** • Thailand may face increased competition as imports from other member countries increase • This may have a damaging effect on Thailand's domestic firms • Countries such as Thailand may rely too heavily on trade within the bloc rather than trading with non-member countries such as India • The overall benefits will depend on the ability of a country to compete within the region and the level of trade with non-member countries	**(9)**

Type MS · Percentage change, including inflation from a price index

Answer 2 of 19 · Question 2 part a · 1 mark

2019 JUN · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Percentage change, including inflation from a price index

Answer 2 of 19 · Question 2 part a · 1 mark

2019 JUN · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark

Type MS · Percentage change, including inflation from a price index

Answer 3 of 19 · Question 4 part a · 2 marks

2020 JAN · Paper 02 · extract 1 of 4 · find part a in this mark scheme extract

Number		
4(a)	**AO2 2 marks** Award 1 mark for showing the calculation. $\frac{9 - 10}{10} \times 100$ **(1)** Award 1 mark for the correct answer. = -10% **(1)** Award 2 marks if the percentage change of -10% is accurately calculated with no workings shown Award 1 mark if % is missing i.e. -10 Do not award marks for the formula	**(2)**

Type MS · Percentage change, including inflation from a price index

Answer 3 of 19 · Question 4 part a · 2 marks

2020 JAN · Paper 02 · extract 2 of 4 · find part a in this mark scheme extract

Question Number	Indicative content	
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Monetary policy is the use of interest rates and the money supply to achieve price stability • An increase in interest rates may help to reduce the amount that consumers and firms borrow as the cost increases to take out loans, mortgages and to spend on credit cards • Higher interest rates may also encourage some consumers to save more thus reducing spending within the Kenyan economy • This may result in less demand-pull inflation within the Kenyan economy • A rise in interest rates may also increase the exchange rate in Kenya making imports cheaper for both consumers and firms • This may also help to reduce cost-push inflation in Kenya	
Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 3 of 19 · Question 4 part a · 2 marks

2020 JAN · Paper 02 · extract 3 of 4 · find part a in this mark scheme extract

Question Number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Globalisation is the increased integration and interdependence of economies • The flower industry is an important contributor to Kenya's GDP and provides employment opportunities for many with over 100,000 people employed in this industry • Higher levels of employment could result in an increase in living standards for the flower farmers and other employees who are indirectly employed at places like the airport • Due to exports from the flower industry, there should be greater tax revenue for the Kenyan Government, an increase in AD and lower unemployment • Globalisation could result in Kenyan workers in the flower industry having a greater choice of goods and services from the wages they earn on the flower farms **AO4** • However, the flower industry may cause damage to the environment from the use of water to grow the flowers which could result in lower standards of living for the workers and the local environment near Lake Naivasha • The cost of this would have to be paid for by the Kenyan Government • There could be environmental damage from the aircraft when the flowers are flown abroad which has to be paid for by society • There could be greater dependence on the flower industry and if global demand falls for flowers then many of the benefits from globalisation will not be achieved • The revenue from the flower industry may not filter down to the workers if the farms are owned by foreign investors • Often there are poor working conditions, including low pay and long hours, especially in the agricultural sector • The overall impact will depend upon how sustainable the flower industry is and if the benefits are shared by all members of the Kenyan economy

Type MS · Percentage change, including inflation from a price index

Answer 3 of 19 · Question 4 part a · 2 marks

2020 JAN · Paper 02 · extract 4 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Percentage change, including inflation from a price index

Answer 4 of 19 · Question 4 part a · 2 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage change in spending on education $\frac{59-68}{68} \times 100$ **(1)** = -13.24% **(1)** Award 2 marks if the percentage change is accurately calculated, even if no calculations are shown Award 1 mark if % is missing i.e. -13.24, even if no calculations are shown	**(2)**

Question Number	**Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • WTO helps with trade negotiations between the many different countries that are members • There are often trade disputes between the member countries such as the US who has been involved in 422 trade disputes • The WTO can help to resolve these to encourage greater free trade • WTO sets the rules of trade for the member countries that account for 98% of world trade • It encourages the reduction of tariffs and quotas as well as ensuring that the 164 members uphold these rules of trade • Without the WTO, there would be more protectionism and trade negotiations would take much longer • A reduction of protectionism should result in more free trade and therefore lower prices and increased choice for consumers	**(6)**

Type MS · Percentage change, including inflation from a price index

Answer 4 of 19 · Question 4 part a · 2 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 4 of 19 · Question 4 part a · 2 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • A trade-off arises where having more of one thing potentially results in having less of another • Having more economic growth results in greater use of scarce and unsustainable resources in order to create goods and services • The US has seen a booming economy but at the same time this has resulted in more CO2 emissions in 2018 • This demonstrates that despite more electric cars and less coal-fired power stations that there is a trade-off between economic growth and protection of the environment • If the US government imposed more protection of the environment in terms of taxation, regulation, fines or pollution permits then this could restrict economic growth due to increased costs for firms **AO4** • However, it can be argued that there is a limited trade-off as economic growth can create wealth to help tackle CO2 emissions through the use of cleaner technologies • More economies are switching to low-carbon technologies which help to reduce pollution • Economic growth is therefore needed if people are able to afford to buy electric cars rather than cheaper petrol cars • Not all industries and firms pollute the environment and many countries are using policies such as recycling and reusing to help reduce pollution and waste • The trade-off will depend upon the priorities of the US and whether economic growth can be used to reduce environmental damage	**(12)**

Type MS · Percentage change, including inflation from a price index

Answer 4 of 19 · Question 4 part a · 2 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–4**	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	**5–8**	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	**9–12**	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Percentage change, including inflation from a price index

Answer 4 of 19 · Question 4 part a · 2 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

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Type MS · Percentage change, including inflation from a price index

Answer 5 of 19 · Question 1 part e · 2 marks

2020 NOV · Paper 02 · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 marks** **B** unemployment	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** **C** Subsidies	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to value of goods/services and 1 mark to time period GDP is the market value of all goods and services **(1)** produced in a year **(1)** Accept any other appropriate response	**(2)**

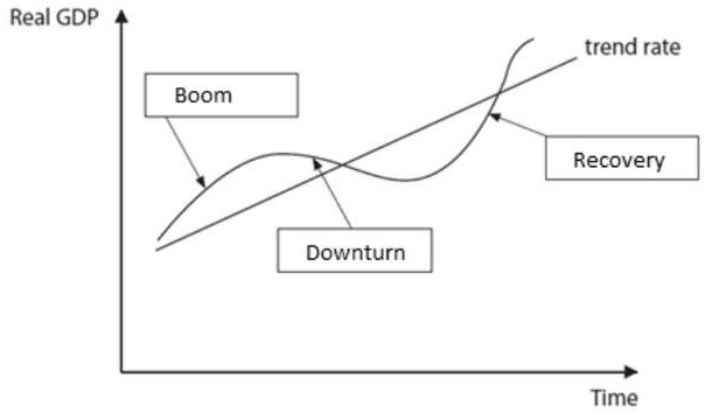
Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the positive impact and 1 mark for development of the positive impact An improvement in standards of living **(1)** due to more income from jobs **(1)** Accept any other appropriate response	**(2)**

Type MS · Percentage change, including inflation from a price index

Answer 5 of 19 · Question 1 part e · 2 marks

2020 NOV · Paper 02 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation $\frac{130.3 - 120.4}{120.4} \times 100$ **(1)** Award 1 mark for the correct answer = 8.22% **(1)** Award 2 marks if the correct answer 8.22% is shown, with percentage sign, even if no calculation is shown Award 1 mark if correct answer is shown 8.22, but with no percentage sign, even if no calculation is shown Do not award marks for the formula	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for boom, labelled Award 1 mark for downturn, labelled Award 1 mark for recovery, labelled  **Figure 1**	**(3)**

Type MS · Percentage change, including inflation from a price index

Answer 5 of 19 · Question 1 part e · 2 marks

2020 NOV · Paper 02 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	**Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is due to generous welfare benefits **(1)**. If a teacher is able to have a good standard of living on welfare benefits **(1)** then there is a disincentive to work at the current wage rates being offered in the education sector **(1)** • One reason is due to high rates of income tax **(1)**. If a person has to give a large proportion of earned income to the government **(1)** then there is less of an incentive to be employed as a teacher **(1)** Accept any other appropriate response	**(3)**

Type MS · Percentage change, including inflation from a price index

Answer 5 of 19 · Question 1 part e · 2 marks

2020 NOV · Paper 02 · extract 4 of 5 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Firms need to transport goods and services around the world and often use large container ships or air to transport goods long distances • Larger cargo ships have resulted in a reduction in the cost of transporting goods by up to 70% on ships as more goods are able to be transported at the same time • This reduces the cost of fuel and economies of scale can be achieved by operating on a larger scale • Transport improvements in aviation also mean that goods and people can travel more quickly between different countries • This has enabled firms to react quickly to consumers around the world • Firms are able to provide perishable goods such as food more easily to a wider geographical area • All these factors have contributed to the increase in globalisation	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 5 of 19 · Question 1 part e · 2 marks

2020 NOV · Paper 02 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Percentage change, including inflation from a price index

Answer 6 of 19 · Question 4 part a · 2 marks

2021 JUN · Paper 01 · extract 1 of 4 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation 8,891,388 – 8,069,276 = 822,112 **(1)** Award 1 mark for correct percentage change $\frac{822,112}{8,069,276}$ x 100 = 10.19% **(1)** Award 2 marks if percentage change is accurately calculated as 10.19%, even if no calculations are shown Award 1 mark if the answer given is 10.19 with or without calculations shown Do not award marks for a formula	**(2)**

Question Number	With reference to the data above and your knowledge of economics, analyse how the quantity supplied of bananas might be affected by an increase in price. Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The diagram shows that the PES of bananas is inelastic • This means that the quantity of bananas supplied is not very responsive to a change in price • The PES of bananas is inelastic because farmers cannot easily increase the production level even with a change in price • Bananas take time to grow and are primary/agricultural products. The supply is therefore dependent on factors such as the weather/climate. It cannot therefore be easily increased, even if there is an increase in the price consumers are willing and able to pay • It is also not possible to store bananas for a long period because they are perishable and therefore stock cannot be used to increase the quantity of supply, this also makes the PES of bananas inelastic

Type MS · Percentage change, including inflation from a price index

Answer 6 of 19 · Question 4 part a · 2 marks

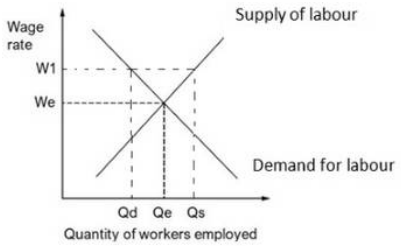
2021 JUN · Paper 01 · extract 2 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 6 of 19 · Question 4 part a · 2 marks

2021 JUN · Paper 01 · extract 3 of 4 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate whether an increase in the minimum wage would benefit an economy such as Spain. Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • The minimum wage is the lowest amount that a firm is legally allowed to pay its employees • The minimum wage in Spain rose from €735.90 to €900 per month in 2019 • This means that the income of employees would increase significantly and should lead to a better standard of living • It may mean employees are more motivated and could therefore lead to higher levels of productivity and so increased output for the firm • This increase in productivity may allow firms to offset the increase in wage costs • Employees would have more disposable income and so be able to spend more in the economy, allowing the revenue of firms to increase • The rise in incomes would also lead to more tax being paid and so greater revenue for the government • This could be used as part of a wider plan to help 'make Spain great again' **AO4** • However, if firms cannot afford the increase in wage costs, they may not be able to employ as many people and this may increase unemployment • Possible use of a diagram:  • If unemployment increases there may be less spending in the economy and less tax revenue for the government • This could mean that not only the firms directly affected by the minimum wage increase are worse off, but also other firms and their employees if there is less demand for goods and services • It may depend on elasticity of demand for goods sold, whether firms can increase prices and/or whether an increase in productivity results • It may depend on the number of low paid workers affected by the minimum wage increase and/ or the size of the increase in minimum wage • As there has only been a small increase in the minimum wage in each of the previous nine years [from €633.30 to €735.90 (16.2%) in total] firms may not be able to afford a larger increase • In the short term it may be more difficult for firms to cover the higher wage costs but this may be easier in the long term if the economy has been boosted by the overall effects of the increase

Type MS · Percentage change, including inflation from a price index

Answer 6 of 19 · Question 4 part a · 2 marks

2021 JUN · Paper 01 · extract 4 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

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Type MS · Percentage change, including inflation from a price index

Answer 7 of 19 · Question 1 part e · 2 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

Number		
1(a)	**AO2 1 mark** The only correct answer is: **D** An airline cuts jobs during a global recession A is not correct because it is structural unemployment B is not correct because it is seasonal unemployment C is not correct because it is frictional unemployment	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **B** devaluation A is not correct because this is caused by market forces C is not correct because this is an increase in the exchange rate D is not correct because this is an increase in the exchange rate caused by market forces	**(1)**

Question Number	What is meant by the term exports? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to goods and 1 mark for reference to being to another country The sale of goods or services **(1)** to another country **(1)** Accept any other appropriate response	**(2)**

Type MS · Percentage change, including inflation from a price index

Answer 7 of 19 · Question 1 part e · 2 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

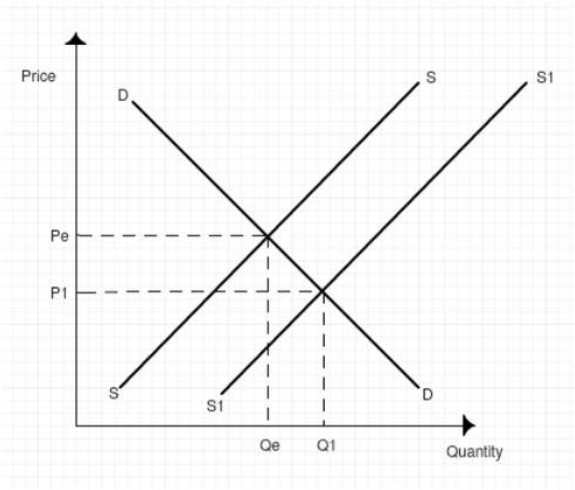
Question Number	Describe one impact that education may have on inequality and poverty. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference reducing inequality and poverty and 1 mark for reference to skills Education helps to reduce inequality and poverty **(1)** by providing skills needed to get a job **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate how much inflation there has been between 2015 and 2019. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 110.2 - 100 **(1)** Award 1 mark for the correct answer = 10.2% **(1)** Award 2 marks if the correct answer 10.2% is shown, with percentage sign, even if no calculations are shown Award 1 mark if the answer given is 10.2, but with no percentage sign, with or without calculations shown Do not award marks for the formula.	**(2)**

Type MS · Percentage change, including inflation from a price index

Answer 7 of 19 · Question 1 part e · 2 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Draw the effects of the introduction of a subsidy on the equilibrium price and quantity of renewable energy. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain the likely impact of a decrease in the UK interest rates on the UK pound. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that the currency will depreciate **(1).** It will become less attractive to deposit money in the UK **(1).** Therefore, demand for the UK pound (£) will fall **(1)** Accept any other appropriate response.	**(3)**

Type MS · Percentage change, including inflation from a price index

Answer 7 of 19 · Question 1 part e · 2 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Question Number	Analyse the disadvantages of free trade for domestic businesses located within this free trade area. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • Free trade means that domestic businesses are no longer protected • Domestic businesses will face greater competition from firms within the free trade area • Businesses may see increased competition from cheaper, low-cost firms within the free trade area who may have lower wage costs compared to domestic businesses • This could result in falling sales for businesses in the EU that will tend to have higher labour costs compared to Vietnam	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 7 of 19 · Question 1 part e · 2 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Percentage change, including inflation from a price index

Answer 8 of 19 · Question 4 part a · 2 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing the calculation. $\frac{\$2715 - \$2590}{\$2590}$ x 100 **(1)** Award 1 mark for the correct answer. = 4.83% **(1)** Award 2 marks if the percentage change of 4.83% is accurately calculated with or without workings shown Award 1 mark if % is missing i.e. 4.83 with or without calculations shown Do not award marks for formula	**(2)**

Question Number	Analyse the impact of falling unemployment rates on tax revenues for a country such as Vietnam. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Unemployment is when those actively seeking work are unable to find a job • Figure 5 shows that unemployment has steadily fallen from a high of 2.3% in January 2017 to 2.15% in October 2019 • Higher rates of employment in Vietnam could result in higher tax revenue from taxing income from employment • Lower unemployment leads to higher spending which will increase revenue from indirect taxes • This could be used by the government in the economy to improve standards of living • This decline should increase tax revenues because most taxes are linked to income and spending	**(6)**

Type MS · Percentage change, including inflation from a price index

Answer 8 of 19 · Question 4 part a · 2 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 8 of 19 · Question 4 part a · 2 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Evaluate the effectiveness of increasing taxation on petrol and diesel to protect the environment in a country such as Vietnam. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Taxation can be imposed on activities that damage the environment • Taxation is used to ensure consumers and producers pay the full social cost of producing a good or service • Up to 60,000 people died from air pollution and it reduces GDP by 5% per year • Increasing taxation by 33% on fuel would substantially increase the price of petrol and diesel for consumers which may result in less demand for transportation • This would reduce the amount of air pollution caused by the 3.6 million automobiles and 58 million motorbikes • Increased taxation could also raise additional revenue of $650.2m for the Vietnamese Government • This could be used to finance other pollution reduction schemes or to improve public transport • Taxation provides a market incentive for firms and consumers to switch to transport alternatives such as public transport which may not cause as much environmental damage **AO4** • However, increasing taxes on fuel reduces the income available to spend on other goods and services • Many of these journeys may be essential for getting to work or for delivering goods • Therefore demand for petrol and diesel may be quite inelastic and an increase in tax may do little to reduce demand and therefore only marginally reduce the amount of air pollution • The 33% increase in taxation is likely to result in an increase in inflation • The public transport in Vietnam might be unable to cope with additional passengers • There are other methods that might be more effective in protecting the environment, such as subsidies, fines or pollution permits • Phasing out polluting vehicles could be encouraged by providing subsidies for removing old cars from the road or for the purchase of electric vehicles • The Vietnamese Government should use a combination of methods to protect the environment	**(12)**

Type MS · Percentage change, including inflation from a price index

Answer 8 of 19 · Question 4 part a · 2 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Percentage change, including inflation from a price index

Answer 8 of 19 · Question 4 part a · 2 marks

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Type MS · Percentage change, including inflation from a price index

Answer 9 of 19 · Question 4 part a · 2 marks

2023 JAN · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage change in GDP per capita $\frac{(3\,561 - 3\,043)}{3\,043} \times 100$ **(1)** = 17.02% **(1)** Award 2 marks if the percentage change is accurately calculated, even if no calculations are shown Award 1 mark if correct answer 17.02 is shown but with no % sign, with or without calculations Do not award any marks for the formula	**(2)**

Type MS · Percentage change, including inflation from a price index

Answer 9 of 19 · Question 4 part a · 2 marks

2023 JAN · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Analyse the possible impact on Egypt of having a continuous current account deficit. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A current account deficit is when the value of imports exceeds the value of exports • A continuous current account deficit indicates that Egypt is becoming increasingly dependent on imports over time, shown in Figure 4 • A current account deficit results in a leakage from the Egyptian economy and can threaten output and employment levels • This can reduce tax revenues for the Egyptian Government • Egypt might be struggling to sell goods and services and could reflect that domestic firms are not competitive in certain sectors of the economy • A continuous current account deficit could result in a depreciation in the exchange rate • If Egypt continues to have a current account deficit it may see its foreign currency reserves run low and it might be necessary to borrow	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 9 of 19 · Question 4 part a · 2 marks

2023 JAN · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the extent to which fiscal policy can be used to control inflation in a country such as Egypt. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Fiscal policy is the use of government spending and taxation to affect macroeconomic objectives • Egypt could see demand-pull inflation due to increased economic growth and a reduction in unemployment rates • An increase in taxation through either direct or indirect taxation may result in reduced spending for consumers and businesses in Egypt as there is less disposable income available • This reduced spending puts less pressure on prices and therefore can help to control inflationary pressures within the Egyptian economy which increased to 6.3% in 2020 • In addition, lower government spending within the Egyptian economy may also have a downward effect on prices as government spending contributes to demand • Both measures may result in less demand-pull inflation within the Egyptian economy **AO4** • However, increasing indirect taxation rates may raise prices and may lead to further inflation • The extent to which it can control inflation will depend upon the type of inflation Egypt is experiencing • If inflation is cost-push due to the depreciation of the exchange rate caused by a continuous current account deficit, fiscal policy may not be effective • Demand is not totally dependent on levels of taxation and government spending and there are other factors that have an impact on inflation • Fiscal policy can therefore conflict with economic growth and employment macroeconomic objectives • There are other ways in which the Egyptian Government could try and control inflation including supply-side policies • These could help to reduce inflationary pressures by helping the Egyptian economy to produce more goods and services at all price levels	**(12)**

Type MS · Percentage change, including inflation from a price index

Answer 9 of 19 · Question 4 part a · 2 marks

2023 JAN · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Percentage change, including inflation from a price index

Answer 9 of 19 · Question 4 part a · 2 marks

2023 JAN · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

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Type MS · Percentage change, including inflation from a price index

Answer 10 of 19 · Question 3 part a · 1 mark

2023 JAN · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

3(a)	**AO2 1 mark** The only correct answer is: **A** 25% B is not the correct answer because this is 150-120 C is not the correct answer because this is 150-100 D is not the correct answer because this is not the increase in the rate of inflation	**(1)**

Question Number	Which **one** of the following is an impact of globalisation? **Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Closing of traditional industries A is not the correct answer because increased competition reduces prices C is not the correct answer because there should be greater choice D is not the correct answer because there should be reduced cost of communication	**(1)**

Type MS · Percentage change, including inflation from a price index

Answer 10 of 19 · Question 3 part a · 1 mark

2023 JAN · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** likely impact on UK tax revenue from rising unemployment rates. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that direct tax revenues may decrease **(1)**. Unemployed workers will have to rely on benefits **(1)** this means they do not pay income tax resulting in less tax revenue **(1)** • One impact is that indirect tax revenues may decrease **(1)**. With fewer people in employment, spending on goods/services may decrease **(1)** resulting in less tax for the UK Government **(1)** Accept any other appropriate response	**(3)**

Question Number	Analyse how business activity can damage the environment in a country such as Chile. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Mining for lithium can cause many different types of pollution • These may include visual, noise, air and water pollution from the operation of the mines • Mining requires large amounts of water to process the lithium • This could result in a reduction of water in lakes so there is less water available for humans, wildlife and agriculture • This can cause damage to the local area from using so much water • Mining can result in large holes being dug which creates a visual impact for people in Chile • Roads might have to be built to transport the lithium from the mines to market, creating additional noise and air pollution for the people of Chile	**(6)**

Type MS · Percentage change, including inflation from a price index

Answer 10 of 19 · Question 3 part a · 1 mark

2023 JAN · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 10 of 19 · Question 3 part a · 1 mark

2023 JAN · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the likely benefits of lowering taxes to reduce unemployment for a country such as Spain. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Taxes can be either direct or indirect • Lowering direct taxes such as income tax results in workers keeping more of their income from paid employment • Workers can then spend more on goods and services increasing consumption in the Spanish economy particularly in sectors such as tourism and commerce • Lowering indirect taxes such as VAT results in the price of goods and services falling which can lead to an increase in demand • These measures result in firms raising output and having to employ more workers to meet the increase in consumption • These new workers in turn have more to spend creating the incentive for firms to hire more workers • Unemployment should therefore be reduced in the Spanish economy **AO4** • However, taxes are the main source of income for the Spanish Government so reducing taxes could result in a fiscal deficit if this policy is unsuccessful • If consumer confidence is low, cutting taxes may not increase consumer spending as people prefer to save instead • There is no guarantee that people will spend the tax cuts on Spanish produced goods and could purchase imported goods resulting in a negative impact on the current account • The tax cuts could be inflationary if demand outstrips supply • It will all depend on the type of unemployment Spain is suffering from. Tax cuts are likely to be ineffective if Spain has structural and seasonal unemployment • There are currently 4 million unemployed so the effectiveness of reducing taxes may depend upon a range of factors within the Spanish economy	**(9)**

Type MS · Percentage change, including inflation from a price index

Answer 10 of 19 · Question 3 part a · 1 mark

2023 JAN · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Percentage change, including inflation from a price index

Answer 10 of 19 · Question 3 part a · 1 mark

2023 JAN · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Calculate, to two decimal places, **the rate of unemployment** for Mexico in the third quarter of 2020. You are advised to show your working. **Answer**	Mark

Type MS · Percentage change, including inflation from a price index

Answer 11 of 19 · Question 3 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

3(a)	**AO2 1 mark** The only correct answer is: **D** 5% A is not correct because this answer is calculated by 1 - 5% B is not correct because this answer is calculated by 1 + 5% C is not correct because this answer is calculated by (50/$1050) x 100	**(1)**

Question Number	Which **one** of the following terms means someone not having enough resources to meet all of their basic needs? Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **C** Absolute poverty A is not correct because this describes the range of incomes in an economy B is not correct because this describes someone having a lower standard of living in comparison to the average person in society D is not correct because this refers to the gap between the rich and the poor	**(1)**

Question Number	Explain one possible reason why the US Government introduced this subsidy. Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to protect domestic firms **(1).** Subsidies allow firms to lower prices **(1)** encouraging consumers to switch to US-manufactured cars with US-made batteries **(1).** • One reason is to increase exports **(1)**. Subsiding cars by $500 can make exports of cars with US-made batteries more competitive **(1)**. This can result in greater export earnings and improve the current account **(1).** Accept any other appropriate response	**(3)**

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Type MS · Percentage change, including inflation from a price index

Answer 11 of 19 · Question 3 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the benefits of free trade for domestic firms located within the RCEP. Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • The RCEP accounts for nearly 30% of global GDP and has 15 member countries • Firms located within the RCEP would be able to easily access a much wider market for their goods and services in the other member countries thereby increasing sales • Expansion into new countries without any trade barriers could help to reduce risk if demand falls within their own country • Tariffs will be removed for trade between all 15 member countries • Therefore any firms operating within the free trade area will be able to export to the other countries without these additional costs • Trade within the RCEP countries could allow firms to obtain essential inputs at a much lower cost than can be found domestically	**(6)**

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Type MS · Percentage change, including inflation from a price index

Answer 11 of 19 · Question 3 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

15

Type MS · Percentage change, including inflation from a price index

Answer 11 of 19 · Question 3 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the impact of rising unemployment rates in the North East of England. Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Unemployment occurs when people of working age who are both willing and able to work cannot find a job • Rising levels of unemployment such as 5.3% will result in lower economic growth as a large part of the workforce will be unproductive in the North East of England • There will be a much greater burden on the UK Government to provide benefits to the unemployed in the region • At the same time tax revenues in the North East will be lower meaning less is available to spend elsewhere • The UK Government may have to provide more education and training schemes to help people enter employment • There may be an increase in relative poverty within the region as unemployed workers have no income apart from benefits from the UK Government **AO4** • However, high rates of unemployment may help some firms compete • Some firms within the North East may find it easier to recruit from a larger pool of workers due to the 5.3% unemployment rate • Some firms may see a reduction in labour costs if there are high levels of unemployment due to fewer wage demands • The number of people claiming benefits did in fact fall indicating that perhaps the rise in the unemployment rate was due to voluntary unemployment • Therefore the impact might not as be as severe if this was the case • The overall impact will depend upon the type of unemployment, the duration and the state of the economy in the North East of England	**(9)**

16

Type MS · Percentage change, including inflation from a price index

Answer 11 of 19 · Question 3 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Percentage change, including inflation from a price index

Answer 11 of 19 · Question 3 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Calculate, to two decimal places, the rate of unemployment in the Netherlands in December 2021. You are advised to show your working. Answer	Mark

Type MS · Percentage change, including inflation from a price index

Answer 12 of 19 · Question 1 part e · 2 marks

2023 JUN · Paper 02 · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 marks** The only correct answer is: **B** GDP starts to rise and economic activity is on the increase A is not correct because this describes a boom C is not correct because this describes a downturn D is not correct because this describes a recession	**(1)**

Question Number	Which **one** of the following is an example of frictional unemployment? Answer	Mark
1(b)	**AO1 1 mark** The only correct answer is: **B** Workers are unemployed whilst waiting to start a new job A is not correct because this is an example of cyclical unemployment C is not correct because this is an example of seasonal unemployment D is not correct because this is an example of structural unemployment	**(1)**

Question Number	What is meant by the term exports? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to goods and 1 mark for reference to being sent to another country The sale of goods or services **(1)** to another country **(1)** Accept any other appropriate response.	**(2)**

Type MS · Percentage change, including inflation from a price index

Answer 12 of 19 · Question 1 part e · 2 marks

2023 JUN · Paper 02 · extract 2 of 5 · find part e in this mark scheme extract

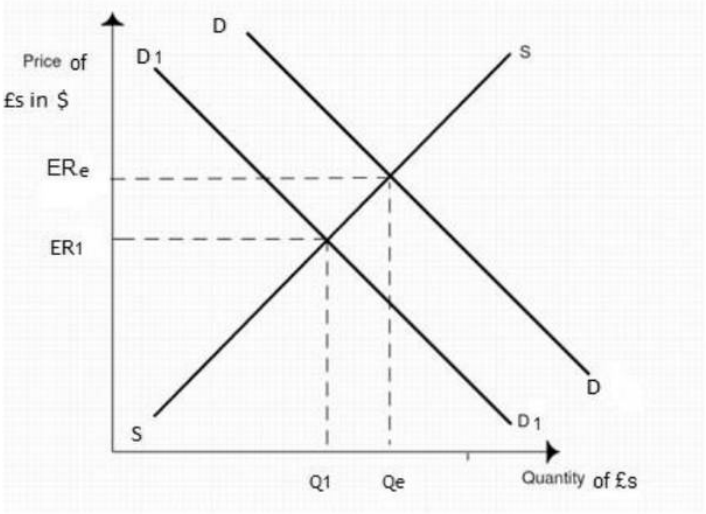
Question Number	What is meant by the term globalisation? Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to interconnection and 1 mark for reference to world's economies Growing interconnection **(1)** of the world's economies **(1)** Accept any other appropriate response.	**(2)**

Question Number	Calculate how much the **average price level** increased between 2018 and 2021. You are advised to show your working. Answer	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation 105.4 - 100 **(1)** Award 1 mark for the correct answer = 5.4% **(1)** Award 2 marks if the correct answer 5.4% is shown, with percentage sign, even if no calculations are shown Award 1 mark if the answer given is 5.4, but with no percentage sign, with or without calculations shown Do not award marks for the formula.	**(2)**

Type MS · Percentage change, including inflation from a price index

Answer 12 of 19 · Question 1 part e · 2 marks

2023 JUN · Paper 02 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Using the diagram below, draw the effects of a decrease in UK exports to the US on the equilibrium exchange rate of UK pounds (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of demand curve, labelled Award 1 mark for lower equilibrium exchange rate, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Question Number	Explain one effect of rising inflation on menu costs in the UK. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • One effect is that menu costs may increase **(1).** When inflation is high, prices need changing frequently **(1).** Firms have to spend money to print new brochures/update websites with the higher prices **(1)** Accept any other appropriate response.	**(3)**

Type MS · Percentage change, including inflation from a price index

Answer 12 of 19 · Question 1 part e · 2 marks

2023 JUN · Paper 02 · extract 4 of 5 · find part e in this mark scheme extract

Question Number	Analyse the possible benefits for Columbia of having import quotas. Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Quotas are physical limits on the quantity of imports allowed into a country • Quotas on rice might help to protect domestic rice farmers • By restricting the amount of rice imported into Columbia domestic rice farmers may gain more market share • This could result in higher revenues for domestic rice farmers • Rice is a staple food in Columbia therefore is of national importance • Therefore, domestic rice farmers might be able to increase the supply of rice to meet any shortages if imports are restricted by quotas	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 12 of 19 · Question 1 part e · 2 marks

2023 JUN · Paper 02 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Fiscal policy would involve a change in which **one** of the following? Answer	Mark

Type MS · Percentage change, including inflation from a price index

Answer 13 of 19 · Question 4 part a · 2 marks

2023 JUN · Paper 02 · extract 1 of 4 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage change in the fiscal deficit for Spain $\frac{-€87.43bn}{-€35.64bn} \times 100$ **(1)** = 245.31% **(1)** Award 2 marks if the percentage is accurately calculated as 245.31% even if no calculations are shown Award 1 mark if % is missing i.e. 245.31 with or without calculations shown No marks for formula	**(2)**

Question Number	With reference to the data in Figure 3 and your knowledge of economics, analyse the impact of a fiscal deficit for a country such as Spain. Indicative content	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A fiscal deficit is when government tax receipts are lower than government spending • In this case, Spain had a deficit of -€123.07bn in 2020 • A fiscal deficit requires the Spanish Government to spend more of its tax revenue on either paying the interest on the debt or using tax revenue to pay off the debt completely • This has an opportunity cost for the Spanish Government • The money spent on interest payments could be spent on public services such as education, healthcare and social provision • Persistent fiscal deficits result in future generations burdened with current debt • Fiscal deficits could result in an increase in taxation levels to help repay the debt or a reduction in spending on public services	**(6)**

Type MS · Percentage change, including inflation from a price index

Answer 13 of 19 · Question 4 part a · 2 marks

2023 JUN · Paper 02 · extract 2 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 13 of 19 · Question 4 part a · 2 marks

2023 JUN · Paper 02 · extract 3 of 4 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate how effective subsidies are in protecting the environment in a country such as Spain. Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Subsidies are grants given by a government to a producer to reduce the costs of production or to a consumer to reduce the price of consumption • The Spanish Government is giving over €6.9bn in subsidies to renewable energy sources which currently accounts for 47% of energy produced in Spain • Renewable energy sources such as wind and solar help to reduce negative externalities caused by fossil fuels • Therefore, using subsidies is an effective way to protect the environment in Spain due to the amount of wind and sun the country receives • It is sensible to harness this for energy use rather than generating energy by fossil fuels • The subsidies will help create over 280,000 jobs in the manufacturer of wind and solar technology positively contributing to the Spanish economy • This should encourage the production of energy from renewable energy sources reducing the environmental impact **AO4** • However, the Spanish Government will have to fund the renewable energy subsidies creating an opportunity cost • The money used to subsidise renewable energy could have been used elsewhere within the Spanish economy • Spanish Government is already running a large budget deficit • Subsidies may cause inefficiency in the firms that produce energy equipment • It depends on the amount of the subsidies as over 50% of the country's energy needs are still from non-renewable sources • There are other ways in which the government can protect the environment which may have less opportunity cost to the Spanish Government • Regulation through the use of laws and fines could be used to protect the environment and the revenue used to tackle the environmental damage • The overall effectiveness will depend upon how much energy production from fossil fuels contributes to environmental damage in Spain	**(12)**

Type MS · Percentage change, including inflation from a price index

Answer 13 of 19 · Question 4 part a · 2 marks

2023 JUN · Paper 02 · extract 4 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Percentage change, including inflation from a price index

Answer 14 of 19 · Question 4 part a · 2 marks

2023 NOV · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $\frac{\$22\,950 - \$20\,250}{\$20\,250} \times 100$ **OR** $\frac{\$\,2\,700}{\$\,20\,250} \times 100$ **(1)** Award 1 mark for correct percentage change = 13.33% **(1)** Award 2 marks if percentage change is correctly calculated as 13.33%, even if no calculations are shown Award 1 mark if percentage change is calculated as 13.33, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Percentage change, including inflation from a price index

Answer 14 of 19 · Question 4 part a · 2 marks

2023 NOV · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why price elasticity of demand (PED) may be relatively inelastic at Marina Café. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Price elasticity of demand (PED) is the responsiveness of demand to a change in price • Inelastic demand means a rise in price will lead to a smaller percentage change in the quantity demanded • PED is likely to be more inelastic at Marina Café because it is situated in a popular location, with sea and mountain views • This means that the degree of necessity is likely to be higher for customers wishing to enjoy the scenery at the same time as their drinks • Therefore, Marina Café has few substitutes because not many of the cafés will have the additional benefit of this location • In addition, the price of a coffee is a small percentage of income, meaning customers will be less likely to reduce their demand due to a rise in price • As a result, customers may be prepared to pay €1.20 more at Marina Café than at alternatives, or even pay more if the price was increased further

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 14 of 19 · Question 4 part a · 2 marks

2023 NOV · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate whether introducing division of labour is the best way for Raphael to increase productivity in his pastry-making factory. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Division of labour means dividing the production process into different stages where each worker specialises in one task • Productivity is the amount of output that can be produced in a period of time, with a given quantity of resources • Division of labour leads to less time being wasted as workers will not have to switch between different parts of production such as mixing ingredients and shaping the dough • This means the employees at the pastry-making factory can become more productive as they are able to develop skills in the task they perform, becoming more specialised • This may be particularly important in order for Raphael's factory to meet demand from the restaurants and street vendors in Madrid, to whom it sells • It can be easier to integrate machinery into the production process as the tasks are broken down into different stages **AO4** • However, the pastry-making factory employees may find doing the same task, such as combining the cooled mixture with egg, very boring and monotonous • This could mean they lose concentration and may make mistakes, leading to a lower rate of productivity • Therefore, a delay in supplying the pastry for churros to restaurants and street vendors in Madrid could occur and lead to a loss of business for the factory • This is especially likely as the restaurants are busy and may be unable to meet their own customer's demand for churros without the pastry • Improving the quality of labour by training employees to use pastry-making equipment could increase productivity more, as could investing in more advanced facilities with which to bake • It depends whether the pastry-making tasks require much training as they maybe more suited to the division of labour process • Raphael could introduce rotation of tasks to reduce the monotony or use division of labour alongside other factors, such as advanced baking facilities

Type MS · Percentage change, including inflation from a price index

Answer 14 of 19 · Question 4 part a · 2 marks

2023 NOV · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Percentage change, including inflation from a price index

Answer 14 of 19 · Question 4 part a · 2 marks

2023 NOV · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

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Type MS · Percentage change, including inflation from a price index

Answer 15 of 19 · Question 3 part b · 1 mark

2024 NOV · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **C** Increases the production of goods and services A is not correct because subsidies will increase government spending B is not correct because subsidies support domestic production rather than increasing imports from other countries D is not correct because subsidies are likely to increase trade disputes rather than reduce them	**(1)**

Question Number	The price of a basket of goods and services was £1 200. The consumer price index (CPI) increased from 120 to 130. Calculate the new price of the basket of goods and services. **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: **B** £1 300 A is not correct because this is £1 200 + 10 C is not correct because this is £1 200 + 130 D is not correct because this is £1 200 + 120 + 130	**(1)**

Question Number	Explain the likely impact on productivity of this change in business taxes for a country such as Italy. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is an increase in productivity **(1).** Firms can keep more of the profit earned allowing them to invest in new technology/training **(1).** This will enable the firm to be more efficient/increase output per worker **(1)** Accept any other appropriate response	**(3)**

Type MS · Percentage change, including inflation from a price index

Answer 15 of 19 · Question 3 part b · 1 mark

2024 NOV · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how regulations can help to protect the environment in a country such as the US. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Regulations are rules made by a government or other authority in order to control the way something is done or the way people behave • Regulations can help to prevent pollution by setting standards for firms and individuals to follow • For example, the CAA has set standards for environmental quality such as air quality standards in the US • These standards can limit the amount of pollutants that can be released into the environment by cars, trucks and buses therefore protecting the environment • Governments can enforce these regulations to ensure that firms and individuals comply with them • There are negative consequences for firms if they do not follow regulations so many firms do comply with them	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 15 of 19 · Question 3 part b · 1 mark

2024 NOV · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether income tax is a reliable source of government revenue for a country such as Australia. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Income tax is levied on personal income • Income tax represents 47% of total revenue and is the largest source of revenue for the Australian Government • This can help to provide a stable and reliable source of revenue for the Australian Government allowing for effective budget planning and public service provision • Income tax revenue plays a critical role in funding essential public services such as healthcare, education, and social welfare programmes ensuring a high standard of living for Australian citizens • Australia's income tax system is progressive, meaning higher-income individuals pay a larger portion of their income in taxes • This helps reduce income inequality and promotes social equity **AO4** • However, income tax revenue can be dependent on how many workers are actively participating in the Australian economy and paying income tax • Income tax revenue could fall in times of recession or when there are high levels of unemployment restricting the amount available to the Australian Government for public services • Higher income tax rates can discourage work, investment, and entrepreneurship, potentially reducing economic growth and job creation • There are many other sources of revenue which are also reliable for the Australian Government • Sales tax contribute 14% towards the revenue received and relies on consumption rather than employment	**(9)**

Type MS · Percentage change, including inflation from a price index

Answer 15 of 19 · Question 3 part b · 1 mark

2024 NOV · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Percentage change, including inflation from a price index

Answer 15 of 19 · Question 3 part b · 1 mark

2024 NOV · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Calculate, to two decimal places, the percentage change in GDP for India between 2021 and 2022. You are advised to show your working. **Answer**	Mark

Type MS · Percentage change, including inflation from a price index

Answer 16 of 19 · Question 4 part a · 2 marks

2024 NOV · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage change in GDP $\frac{3\,385.09\text{bn} - 3\,150.31\text{bn}}{3\,150.31\text{bn}} \times 100$ **OR** $\frac{234.78\text{bn}}{3\,150.31\text{bn}} \times 100$ **(1)** = 7.45% **(1)** Award 2 marks if the percentage change in GDP is accurately calculated as 7.45% even if no calculations are shown Award 1 mark if the percentage change in GDP is calculated as 7.45 even if no calculations are shown No marks for formula	**(2)**

Type MS · Percentage change, including inflation from a price index

Answer 16 of 19 · Question 4 part a · 2 marks

2024 NOV · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how benefits offered by the government can help to reduce poverty for a country such as India. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Benefit payments are direct payments from the government to those on very low incomes • Low-income households can use the cash transfer payments to buy essential goods and services such as food, housing and healthcare which they otherwise would not be able to afford • These payments and food rations can help to ensure that low-income families have access to food which can improve their health and well-being • Training courses can help to increase opportunity for low-income unemployed individuals to retrain to gain employment thereby helping to reduce poverty in India • Benefit payments can help to reduce financial stress for working families and significantly improve their standard of living by lifting them out of poverty	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 16 of 19 · Question 4 part a · 2 marks

2024 NOV · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the possible benefits for India of joining the RCEP trading bloc. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • A trading bloc is a group of countries that have agreed to reduce or eliminate trade barriers between each other • Joining the RCEP bloc may create a larger and more diverse consumer market for Indian goods and services • This can create new export opportunities and boost economic growth especially if there is strong demand for Indian goods and services in these new markets • RCEP eliminates tariffs on most goods traded between member countries. This would make Indian exports more competitive in foreign markets • Joining RCEP would give Indian firms access to a larger market in places such as Japan and South Korea and encourage foreign investment in India • RCEP would make it easier for Indian firms to integrate into regional and global supply chains. This would help Indian firms reduce costs and improve efficiency • RCEP is expected to create many jobs. India could benefit from this job creation, especially for its young and growing population • The bloc may give India more bargaining power in international trade negotiations helping to secure better deals for its exports and imports **AO4** • However, joining a trading bloc could also lead to increased competition for Indian firms in both domestic and foreign markets • Indian firms will need to be prepared to compete with firms from the 15 member countries and this may result in Indian firms having to innovate or lower prices • The increased competition from firms in other member countries could lead to job losses in India particularly in labour-intensive industries such as agriculture and manufacturing • This is because firms may be tempted to shift their production to member countries with lower labour costs or more favourable tax regimes • Overall, there are both potential benefits and challenges associated with membership of the RCEP	**(12)**

Type MS · Percentage change, including inflation from a price index

Answer 16 of 19 · Question 4 part a · 2 marks

2024 NOV · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Percentage change, including inflation from a price index

Answer 16 of 19 · Question 4 part a · 2 marks

2024 NOV · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

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Type MS · Percentage change, including inflation from a price index

Answer 17 of 19 · Question 4 part a · 2 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $\frac{5,601,185 - 5,541,075}{5,541,075} \times 100$ **(1)** **OR** $\frac{60,110}{5,541,075} \times 100$ **(1)** Award 1 mark for correct percentage change = 1.08% **(1)** Award 2 marks if percentage change is correctly calculated as 1.08%, even if no calculations are shown Award 1 mark if the answer given is 1.08 with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Percentage change, including inflation from a price index

Answer 17 of 19 · Question 4 part a · 2 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why Air Asia may benefit from spreading its risk across a wider range of markets. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • One factor that can affect the growth of firms is the desire to spread risks • By expanding its product range, Air Asia can reduce the risk because it is trading in different markets (risk-bearing economies of scale) • This means that if there is a problem in one market (such as travel insurance) it has other areas in which it can continue to trade • Therefore, the range of services, such as airport transfers and holiday packages, could help to finance the firm and allow it to continue to be successful, if there are problems in other markets • As Air Asia operates internationally, it is likely to encounter uncertainty in the different markets and therefore having a range of services means it is reducing the overall risk to the firm

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 17 of 19 · Question 4 part a · 2 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate whether an increase in the minimum wage would benefit everyone in an economy such as Latvia. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • The minimum wage in Latvia rose from €620 to €700 per month in 2024, meaning that the increased income of employees should lead to a better standard of living • It may mean that employees are more motivated and could therefore lead to higher levels of productivity and so increased output for the firm • This increase in productivity could allow firms to offset the increase in wage costs • Employees could have more disposable incomes and be able to spend more in the economy, allowing the revenue of firms to increase • The rise in incomes would also lead to more tax being paid and so a greater revenue for the Latvian Government • This could be used to further benefit the economy in Latvia **AO4** • However, if firms cannot afford the increase in wage costs, they may not be able to employ as many people and this may increase unemployment • Possible use of a diagram:  • If unemployment increases, there may be less spending in the economy and less tax revenue for the government • This could mean that not only the firms directly affected by the minimum wage increase are worse off but also other firms and their employees if there is less demand for goods and services • As the percentage of the population being paid the minimum wage had fallen to 16%, the lowest in five years, it may not increase costs as much for firms in Latvia as it may have done when more people were paid the minimum wage, as the firms may already be paying employees more than €700/month

Type MS · Percentage change, including inflation from a price index

Answer 17 of 19 · Question 4 part a · 2 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

	• It may depend on price elasticity of demand for the goods sold, whether firms can increase prices and/or whether an increase in productivity results • In the short term it may be more difficult for firms to cover higher wage costs but this may be easier in the long term if the economy has been boosted by the overall effects of the increase

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Percentage change, including inflation from a price index

Answer 17 of 19 · Question 4 part a · 2 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

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Type MS · Percentage change, including inflation from a price index

Answer 18 of 19 · Question 4 part a · 2 marks

2025 JUN · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $\frac{\$214\,100 - \$211\,600}{\$211\,600}$ x 100 **(1)** **OR** $\frac{\$2\,500}{\$211\,600}$ x 100 **(1)** Award 1 mark for correctly calculating the percentage change = 1.18% **(1)** Award 2 marks if the percentage change in profit is correctly calculated as 1.18% even if no calculations are shown Award 1 mark if the percentage change in profit is calculated as 1.18 with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Percentage change, including inflation from a price index

Answer 18 of 19 · Question 4 part a · 2 marks

2025 JUN · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why the market for petrol in Uganda could be described as an oligopoly. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • There are five firms dominating the market for petrol in Uganda • Having a distinctive logo and colours for the brand of petrol allows the offering to customers to be different from competitors • The petrol companies compete through non-price competition, for example excellent customer service is offered by Vivo Energy whereas Total Energies aims to improve its impact on the environment • As a result of having something different about the product, such as Stabex International may be able to keep customers coming back to buy petrol from its pumps, rather than going to competitors such as Nile Energy or Hass Petroleum • Barriers to entry due to very high start-up costs mean it is unlikely new firms will be easily able to enter the market for petrol in Uganda, again showing features of an oligopoly

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 18 of 19 · Question 4 part a · 2 marks

2025 JUN · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate the likely benefits to Řešení of expanding the firm to Prague. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Expanding a business means serving a higher number of customers, to potentially increase profits • Becoming a larger firm may mean Řešení is able to make higher profits because it can charge higher prices to the businesses in Prague • It may have a large increase in customer numbers because there are 8.5% more businesses in Prague than Brno, meaning a larger potential client base • Attracting some of these customers would increase revenue and therefore, potentially increase profit as well • By operating more than one office, Řešení would be spreading its risks, rather than just relying on the original location and businesses in Brno • Due to its earlier success, Řešení may have more access to finance to be able to expand the firm • It may be possible for Řešení to benefit from economies of scale, such as being able to spread advertising costs over a larger number of services **AO4** • However, the small team of accountants in Řešení is already very busy so may be unable to offer the same quality service in Prague as well • Therefore, Daniella may need to employ more accountants to meet the needs of new customers in Prague, meaning additional expense for the firm • It may require some of the accountants in Brno to travel to Prague to help Řešení achieve an excellent reputation there too • As a result, some employees may be demotivated if they do not like the changes and requirement to travel, which could reduce the quality of service to existing customers in Brno • This could cause diseconomies of scale due to reduced productivity or if Daniella has difficulty coordinating/controlling the firm in more than one location, especially as it would be over 200 km apart • Thus, average costs may increase due to less productive workers and/or revenue to decrease due to dissatisfied customers/damaged reputation • There would be more competition located in Prague, meaning it may be difficult to attract custom in spite of the higher number of businesses located there • It would take time and money to open the new office and raising finance may be difficult as Řešení is only a small firm, meaning that making a profit may take a long time

Type MS · Percentage change, including inflation from a price index

Answer 18 of 19 · Question 4 part a · 2 marks

2025 JUN · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

	• Therefore, it may depend on the strength of existing competitors and the ability of Řešení to manage the expansion

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Percentage change, including inflation from a price index

Answer 18 of 19 · Question 4 part a · 2 marks

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Type MS · Percentage change, including inflation from a price index

Answer 19 of 19 · Question 4 part a · 2 marks

2025 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

	Answer	
4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage change in single-use plastic bags sold in the UK $\frac{133 \text{ million} - 197 \text{ million}}{197 \text{ million}} \times 100$ **(1)** **OR** $\frac{-64 \text{ million}}{197 \text{ million}} \times 100$ = 32.49% **(1)** Award 2 marks if the correct answer is 32.49% even if no calculations are shown Award 1 mark if the answer given is 32.49 even if no calculations are shown No marks for formula	**(2)**

Type MS · Percentage change, including inflation from a price index

Answer 19 of 19 · Question 4 part a · 2 marks

2025 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how business activity can damage the environment in a country such as the UK. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumer spending can lead to significant environmental damage particularly as this accounts for 26% of emissions in the UK • When consumers purchase goods, such as food and clothes, firms have to use energy to make these goods often using fossil fuels • Fossil fuels pollute the air with the energy sector accounting for 17% of emissions in the UK • The production and transportation of goods cause air, water and noise pollution from factories and vehicles • For example, factories may release harmful chemicals into rivers and trucks carrying products release exhaust fumes into the air damaging the environment	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
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Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage change, including inflation from a price index

Answer 19 of 19 · Question 4 part a · 2 marks

2025 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the possible advantages of using regulation to protect the environment for a country such as the UK. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Regulation can provide direct control over harmful activities such as using single-use plastics by an outright ban resulting in immediate compliance by firms and consumers • Regulations establish clear standards and rules that must be followed providing certainty for firms and consumers • The new regulations will ensure firms and consumers adopt more sustainable practices • For example, banning certain types of single-use plastics encourages the use of more sustainable or reusable alternatives • Following regulations should result in less damage to the environment and reduce the 2.7 billion single-use plastic items used in England **AO4** • However, firms that produce or use single-use plastics may face significant costs to switch to alternative materials, particularly for small takeaway shops and food firms • Small firms might find it especially difficult to absorb the costs of transitioning away from single-use plastics and may not have the resources to quickly find or afford alternative products • Firms and consumers have less flexibility in choosing convenient and often cheaper single-use options • Ensuring that every retailer and firm in the food industry complies with the ban could be challenging and costly to monitor • There is a risk of non-compliance if the ban is not enforced consistently or the fine is not high enough • Overall, there are a number of ways the UK Government can protect the environment with regulation being used together with taxation and fines	**(12)**

Type MS · Percentage change, including inflation from a price index

Answer 19 of 19 · Question 4 part a · 2 marks

2025 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
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Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Percentage change, including inflation from a price index

Answer 19 of 19 · Question 4 part a · 2 marks

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